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FOXCONN V BYD (A): COMMERCIAL ESPIONAGE OR LEARNING BY HIRING?

We have a strong conviction to protect our intellectual property and trade secrets as well as customers' confidential information.

- Samuel Chin, chairman and chief executive of Foxconn International Holdings¹

Foxconn International Holdings Limited ("Foxconn") was the world's largest contract manufacturer of mobile phones. Its competitor, BYD Company Limited² ("BYD"), had entered this market in 2003 by diversifying from its business of producing rechargeable batteries. To acquire the know-how of handling the complicated logistics of manufacturing mobile phone parts, BYD embarked on a learning-by-hiring strategy, actively recruiting employees of all ranks at competing firms, including Foxconn. Through this strategy, BYD managed to secure orders from global customers such as Nokia and Motorola in just two years after market entry.

In May 2006, Foxconn's management discovered a trade secret leakage in China after an employee sent out a large number of electronic files via the company's computer network for 10 continuous hours to a former employee who had left for BYD. A few individuals were arrested and prosecuted for their involvement. Among the materials seized from BYD's premises were substantial amounts of non-public information belonging to Foxconn. The head of BYD's system management office was subsequently arrested in January 2007. Internal investigation by Foxconn indicated that BYD had been systematically stealing its trade secrets over a long period. In May 2007, Foxconn's management was contemplating whether they should pursue criminal prosecution of BYD as a corporate entity in order to

¹ Pao, J. (13 June 2007) "Foxconn Accuses BYD of Obtaining Secret Data", *South China Morning Post*.

² BYD's business of contract manufacturing services was conducted through one of its subsidiaries, BYD Electronics (International) Company Limited.

Penelope Chan prepared this case under the supervision of Professor Zhigang Tao, Professor Shang-Jin Wei, Dr. Yahong Li and Dr. Jiangyong Lu for class discussion. This case is not intended to show effective or ineffective handling of decision or business processes.

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Ref. 09/452C

deter further infringement of intellectual property rights (“IPR”). To safely protect its trade secrets in the long run, the management had to address BYD’s learning-by-hiring strategy squarely and devise measures to stop Foxconn’s costly loss of senior employees.

Infringement of Intellectual Property Rights

Intellectual property (“IP”) rules were introduced into the global trading system for the first time through the World Trade Organisation’s Agreement on Trade-Related Aspects of Intellectual Property Rights (“TRIPS”), which was formulated in the 1986–1994 Uruguay Round of multilateral negotiation. Seven types of IP were protected under TRIPS [see **Exhibit 1**]. There were three major categories of IPR infringement: copyright³, piracy, product counterfeit⁴ and trade secret theft [see **Exhibit 2**]. In a survey of 405 senior executives from companies across Europe in 2007, China was regarded by 40% of respondents as the country posing the most serious IP threats, leading other countries by a wide margin. Around 43% of respondents viewed patent infringement by competitors in emerging markets as the chief source of threat to their companies’ intellectual property, while 35% cited unauthorised actions by employees [see **Exhibit 3**].⁵ Unauthorised actions by employees were mostly related to trade secret theft, which might occur in any company or industry.

IPR Infringement as a Price Driver for China’s Export Boom

Counterfeit products are ... produced in China for the entire world. The operations have become much more professional in the past year [2006] alone. We are now facing organised crime.

- Thomas Ehmer, head of IP at Puma, a German shoe and sportswear manufacturer⁶

China became a member of the World Trade Organisation on 11 December 2001. This opened up the market of international trade for China, fostering technology transfer to the country and acquisition of management know-how through foreign direct investment. To comply with the TRIPS agreement in protecting IPR, China had made significant amendments to its IP laws from 2000 to 2008 in order to conform to international standards [see **Exhibit 4**]. Since 2003, China had been enjoying exponential growth in exports [see **Exhibits 5A and 5B**]. In an analysis of China’s key price drivers, researchers pointed out that some Chinese manufacturers were able to undercut the prices of their global competitors by 50% or more in a wide range of goods. The top three price drivers were wages, export industry subsidies and preferences, and industrial network clustering. Counterfeiting and piracy ranked fifth, contributing 8.63% to China’s price advantage in global trade [see **Exhibit 5C**].⁷

³ Copyright was defined by the Intellectual Property Office of the US as a form of legal protection provided to the authors of original works of authorship including literary, dramatic, musical, artistic and certain other intellectual works, both published and unpublished. The owner of copyright had the exclusive right to reproduce and distribute copies of the copyrighted work, to prepare derivative works, and to perform or display the copyrighted work publicly. See: Duhaime Org, “Copyright”, <http://www.duhaime.org/LegalDictionary/C/Copyright.aspx> (accessed 26 May 2009).

⁴ A counterfeit product was an imitation of a genuine or authentic product with the intent to defraud.

⁵ Economist Intelligence Unit (January 2007) “The Value of Knowledge: European Firms and the Intellectual Property Challenge”, http://graphics.eiu.com/files/ad_pdfs/eiu_EuropeIPR_wp.pdf (accessed 27 February 2009).

⁶ Ibid.

⁷ Navarro, P. (1 February 2007) “Testimony of Business Professor Peter Navarro before the U.S.-China Economic and Security Review Commission”, *US-China Economic Review Commission*, http://www.uscc.gov/hearings/2007hearings/written_testimonies/07_02_01_02wrts/07_02_1_2_navarro_peter_statement.php (accessed 4 March 2009).

Trade Secret Thefts

In 2008, it was estimated that trade secret thefts worldwide cost businesses US\$1 trillion.⁸ It was relatively difficult to identify and prevent such activities due to their secretive and often intangible nature. Around 80% of trade secrets were stored in digital form. Computer security breaches by employees were among the most common means of corporate data loss [see Exhibit 6A], and hackers could break into computers and copy data without leaving a trace. “You could have all your documents stolen, and never know it,” said Alan Brill, senior managing director of Kroll-O’Gara Company, a corporate investigation firm in New York.⁹ In surveys conducted in 2006 and 2007, one-third of companies said a major security breach could put them out of business, and yet only 35% of Fortune 100,000 companies were equipped to deal with lost corporate or personal data [see Exhibit 7].

Competitors engaging in systematic commercial espionage activities might pursue a tricky tactic common in counterfeit operations. Counterfeiters usually used front companies or front men to register companies that produced counterfeits, making it very difficult to identify the true culprits behind them and make them legally liable.¹⁰ Similarly, competitors might go through middlemen to steal the sought-after trade secrets, including professional hackers and current or former employees of the target companies, and were often shrewd enough to eliminate all evidence of their companies’ direct involvement in these unlawful acts. The middlemen would bear all the legal consequences if caught.

In China, trade secrets were protected by the Anti-Unfair Competition Law enacted in December 1993. “Trade secret” was defined in chapter 10 of this law as technical or operational information which was not known to the public, which was capable of bringing economic benefits to the IP owner, which had practical applicability and which the IP owner had taken measures to keep secret. Contractual agreements with employees [see Exhibit 6B] and information security measures were common means to prevent trade secret loss.

Contract Manufacturing Industry and Foxconn

In 2006, contract manufacturing was a US\$290 billion industry, with US\$190 billion and US\$100 billion coming from the two major sub-sectors of electronic manufacturing services (“EMS”)¹¹ and original design manufacturing (“ODM”),¹² respectively. In mid-2007, analysts estimated that the market size would reach US\$387 billion in 2013, with ODM contributing a lion’s share of US\$219 billion.¹³ Contract manufacturing was widely used by original equipment manufacturers (“OEMs”) in the industries of consumer electronics, computing, aerospace and defense, and medical and industrial applications. OEMs opted to outsource jobs to contract manufacturers mainly to reduce product costs, accelerate products’ time-to-market, gain access to advanced design manufacturing technologies, improve inventory management and purchasing power, and reduce capital investments.

⁸ USLaw.com (17 February 2009) “McAfee Estimates \$1 Trillion in Trade Secret Thefts in 2008”, http://www.uslaw.com/library/Intellectual_Property_Law/McAfee_Estimates_Trillion_Trade_Secret_Thefts_2008.php?item=382901 (accessed 23 March 2009).

⁹ Silverman, R. (11 January 1999) “The Millennium—Trade & Commerce: Stop, Thief!”, *Wall Street Journal*.

¹⁰ Clark, D. (January/February 2006) “Counterfeiting in China: A Blueprint for Change”, *China Business Review*, 33 (1), pp. 14–19.

¹¹ EMS providers specialised in procurement of materials, manufacturing, assembly and testing of various products for OEMs, whose logo or trademark normally appeared on the finished products. These providers did not make their own products, but rather assembled products for other companies.

¹² ODM firms designed and manufactured products which were specified and eventually branded and sold by other firms. These manufacturers owned the intellectual property rights of these products.

¹³ Deffree, S. (24 July 2007) “Outsourcing Drives EMS, ODM Growth”, *EDN*, <http://www.edn.com/article/CA6462553.html> (accessed 14 February 2009).

EMS providers maintained their price advantage by streamlining their supply chains and through aggressive cost cutting. However, intensifying competition had driven average selling prices in the traditional markets downwards, prompting EMS providers to diversify their services and offerings. In line with this trend, major EMS providers established partnerships with ODM providers or created dedicated ODM resources that offered design, testing, and research and development (R&D) services. Design expertise represented a key driver of the ODM sector, fuelling its expected rapid growth through 2013.

Foxconn: The World's Largest Contract Manufacturer of Mobile Phones

Foxconn (富士康國際控股有限公司) was the world's largest EMS provider in terms of revenue [see **Exhibit 8A**]. It was a subsidiary of Hon Hai Precision Industry Company Limited¹⁴ (鴻海精密工業股份有限公司) ("Hon Hai"), based in Taiwan. The major products produced by Foxconn included mobile phones, personal computers and video game consoles [see **Exhibit 8B**]. In 2006, Motorola and Nokia contributed to 59% and 32% of Foxconn's sales revenue, respectively.¹⁵ Foxconn's manufacturing facilities were scattered across emerging markets worldwide, with a heavy concentration in China [see **Exhibit 8C**]. Its head office and major research centre in China were based in Shenzhen, a city in southern China near Hong Kong.

The company invested heavily in R&D to augment its design and manufacturing capabilities [see **Exhibit 8D**]. It had developed its proprietary Computerised Maintenance Management System, which strengthened its competitive edge of superb supply chain management. Together with stringent cost control, Foxconn was able to offer high-quality end-to-end manufacturing solutions at a low price, fuelling its rapid growth since 2003. These solutions covered the whole spectrum of R&D, design, manufacturing, testing and after-sales services. However, with an increasingly dire labour shortage in Shenzhen, Foxconn had to compete with thousands of other companies in the city in filling its ranks of over 100,000 workers. Rising labour costs in China prompted Foxconn to develop more production bases in other emerging markets, such as the Czech Republic and Brazil. To safeguard its trade secrets, Foxconn signed confidentiality agreements with its employees. All documents containing trade secrets were clearly marked as "confidential".

Management Style of Terry Guo, Hon Hai's Chairman

Terry Guo (郭台銘) had set up Hon Hai from scratch in 1974 at age 24 with US\$3,000.¹⁶ He was a highly disciplined person, accumulating wealth¹⁷ bit by bit through hard work. He implemented very strict work codes throughout the corporation. New employees had to undergo military-style training. Guo prided himself on being an "impartial dictator" (獨裁為公).¹⁸ He was renowned for his heavy-handed approach in handling the media.

¹⁴ Hon Hai employed more than 200,000 Chinese workers in 2006, and exported US\$22 billion worth of goods from the country in 2005, making it China's largest exporter that year. See: Hille, K. (5 September 2006) "Hon Hai Goes into Damage Control Mode", *Financial Times*.

¹⁵ Pao, J. (29 April 2008) "Foxconn to Focus on Nokia, Samsung Orders", *South China Morning Post*.

¹⁶ US\$1 = NT\$33.7789 on 26 April 2009. The new Taiwan dollar (NT\$) was the currency used in Taiwan.

¹⁷ In 2009, Guo was ranked number 334 on the global list of billionaires by *Forbes Magazine*, possessing a fortune of US\$2 billion. See: Forbes (14 March 2009) "Norman Braman New on Forbes' List of World's Richest", http://newsfeedresearcher.com/data/articles_b11/year-billionaires-billion.html (accessed 29 March 2009).

¹⁸ 許亞青 (2007年07月05日) "比亞迪暗戰富士康,王傳福、郭台銘兩岸對抗", *IT經理世界* [Hui, A. (5 July 2007) "BYD Wages Hidden Battle with Foxconn. Wang Chuanfu and Terry Guo in Confrontation across the Border", *IT Manager World*], <http://www.huaxia.com/sw/qycf/2007/00647463.html> (accessed 1 April 2009).

In August 2006, Foxconn sued two journalists in mainland China for alleging long working hours, poor living conditions and meagre salaries¹⁹ of its Chinese factory workers. The company demanded US\$3.75 million²⁰ in compensation for damages and applied for court orders to freeze the assets of the journalists.²¹ This move generated widespread media criticism throughout the country until the company withdrew the lawsuit in early September. A Hon Hai official admitted misjudgement of the situation, saying that Hon Hai had viewed the lawsuit as a means of protecting itself from defamatory reporting but realised only later that it was becoming a political issue. An executive at a Taiwanese company in Guangdong commented: “Suing journalists who claim to fight for something at the heart of Beijing’s ideological agenda was not a very smart move.”²²

In China, labour unions had been formed in domestic firms since the heyday of state-owned monopolies. Through organising social functions, these labour unions served the purposes of promoting social harmony and educating the public about communist ideologies. Local workers were in general not active in fighting for their rights through labour unions, which were funded by their companies. Many foreign companies gradually realised the advantage of leveraging labour unions on the mainland to galvanise their workers in striving towards the companies’ goals. Under Chinese law, a trade union could be established at any company with a minimum of 25 workers. Chinese authorities had been pushing foreign firms to allow the establishment of labour unions in their mainland branches. However, Foxconn’s management refused to do so after years of negotiation with the local government.²³

BYD’s Emergence as Foxconn’s Serious Competitor

“Build Your Dreams” by a Legendary Founder, Wang Chuanfu

BYD²⁴ (比亞迪股份有限公司), located in Shenzhen on the Chinese mainland, was the world’s second-biggest producer of lithium-ion batteries. In 2006, BYD’s revenue was US\$1.89 billion [see Exhibits 9A and 9B]. The company had been started from scratch by Wang Chuanfu (王傳福) at age 29 in 1995, using US\$300,000 borrowed from his cousin. Wang had a master’s degree in metallurgical physics and chemistry. He had worked in a government research institute for a few years before starting BYD. With limited seed capital, BYD engaged in low-cost battery production with semi-automated assembly lines in the first few years. Around 60% of the capital equipment for manufacturing batteries was self-developed, significantly reducing production costs. In 2000, BYD offered lithium-ion batteries at a highly competitive price of US\$2.8, as compared to US\$8 from Japanese manufacturers.²⁵ This helped BYD secure a lot of battery orders from major mobile phone companies, resulting in rapid revenue growth. In 2003, Wang purchased a 77% stake in a small domestic auto company in Xian, Qinchuan Motors (西安秦川汽車), with US\$393 million and started

¹⁹ It was first reported on 15 June 2006 by *The Mail on Sunday* in the UK that Chinese workers at Foxconn worked 15 hours a day for a monthly salary of RMB 300 (US\$44). The following day, the Chinese newspaper *First Financial News* (第一財經報) published an article with the title “Foxconn Workers: Machines Penalising You to Stand 12 Hours” (富士康員工：機器罰你站12小時). See: 王微 (2009年2月17) “富士康危機管理成敗得失”, 全球品牌網 [Wang, W. (17 February 2009) “Pros and Cons of Crisis Management by Foxconn”, *Globrand*], <http://www.globrand.com/2009/152393.shtml> (accessed 1 April 2009).

²⁰ US\$1 = RMB 6.8492 on 13 March 2009.

²¹ China Daily (30 August 2006) “Journalists in Defamation Case Voice Grievances on Blog”.

²² Hille, K. (5 September 2006) “Hon Hai Goes into Damage Control Mode”, *Financial Times*.

²³ A labour union was finally formed in January 2007 when the general trade union of Shenzhen dispatched its staff to Foxconn’s dormitory to gather employees together to form a union without notifying the company’s management. See: He, H. (18 January 2007) “Foxconn Forced to Unionise Its Plant”, *South China Morning Post*.

²⁴ “BYD” stood for “Build Your Dreams”, which was the company’s corporate slogan.

²⁵ SMT 充電網 (2007年12月12日) “富士康起訴比亞迪利用離職員工，竊取其SMT管理辦法等文件” [SMT Power Net (12 December 2007) “Foxconn Sued BYD for Stealing Its SMT Management Methods Documents through Former Employees”, <http://www.smtpow.com/?pagetype=bbstthread-and-tid-19582.html> (accessed 1 April 2009)].

research on building electric cars. BYD entered the EMS market in the same year through its subsidiary, BYD Electronic International Company Limited (比亞迪電子國際有限公司) (“BYD Electronic”).

Research and Human Resources Strategies for Rapid Growth

For research and development of a new product, 60% [of the content] actually comes from public writings, 30% from existing product samples, and 5% from factors such as raw materials. Only 5% comes from [the company's] own research work. ... Foxconn had 4,000 senior management staff from Taiwan in the Mainland. The salaries of these people are equivalent to those of 100,000 workers of BYD.

- Wang Chuanfu, chairman of BYD Company Limited²⁶

When BYD entered the EMS market, it mainly produced low-end mobile phone products. The quality and functional performance of these products were below those of Foxconn's products. To increase its competitive edge, Wang heavily tapped the knowledge resources readily available in the marketplace. “We use a large number of non-patented technologies. Combining and integrating non-patented technologies constitutes our innovation,” said Wang.²⁷

To move up the technology value chain, BYD initiated a learning-by-hiring strategy. The company and its subsidiaries actively recruited workers from Foxconn to an extent that a recruitment office was set up specifically for this purpose. This strategy rapidly gained traction due to Foxconn's low pay for local workers and lopsided trust favouring Taiwanese managers over local ones. In 2005, some senior managers of Foxconn in Shenzhen also left for BYD, including Liu Xianjun (柳相軍), who became the head of BYD's mobile phone division, and Si Shaoqing (司少青), who headed the system management office. Before jumping ship, Liu had been hand-picked and groomed by Foxconn's top management for seven years as part of the company's succession plan. His leadership training included postings to Foxconn's facilities in the UK and Czech Republic. As reported by Taiwanese media, BYD also poached a senior R&D manager of Foxconn in Japan, thereby acquiring an advanced technology for producing high-quality but low-cost metal alloys.²⁸

As a result of its recruitment strategy, BYD rapidly acquired the supply chain management know-how and technical capabilities of manufacturing mobile phone parts. It managed to secure big EMS orders from major global mobile phone companies such as Nokia and Motorola just two years after market entry, whereas Foxconn had taken five years to achieve similar results. Through competitive pricing, BYD's mobile phone business had enjoyed rapid growth and very high net profit margins since 2005 [see Exhibits 10A and 10B]. In the first half of 2007, mobile phone sales made up 37% of BYD's total revenue.²⁹ According to people in the EMS industry, OEMs were happy to divert some of their orders from Foxconn to BYD as a measure to counterbalance Foxconn's market power.³⁰

²⁶ 許亞青 (2007 年 07 月 05 日) “比亞迪暗戰富士康, 王傳福、郭台銘兩岸對抗”, *IT 經理世界* [Hui, A. (5 July 2007) “BYD Wages Hidden Battle with Foxconn. Wang Chuanfu and Terry Guo in Confrontation across the Border”, *IT Manager World*], <http://www.huaxia.com/sw/qycf/2007/00647463.html> (accessed 1 April 2009).

²⁷ Ibid.

²⁸ SMT 充電網 (2007 年 12 月 12 日) “富士康起訴比亞迪利用離職員工, 竊取其 SMT 管理辦法等文件” [SMT Power Net (12 December 2007) “Foxconn Sued BYD for Stealing Its SMT Management Methods Documents through Former Employees”], <http://www.smtpow.com/?pagetype=bbsthread-and-tid-19582.html> (accessed 1 April 2009).

²⁹ Ibid.

³⁰ Ibid.

One major reason for the success of BYD in luring Foxconn's employees was the difference in personnel management and cost control policies of the two companies. Foxconn implemented very strict discipline in the workplace and had a very rank-conscious company culture. The status of rank-and-file workers was very low, and the company implemented stringent cost control on their benefits and expenditures. For example, workers had to fill in the nitty-gritty details of transportation expenses, including the starting and end point of each trip. For the management team, on the other hand, Foxconn was very generous, even furnishing chartered flights for overseas trips.³¹

In contrast, BYD had more worker-friendly personnel policies and a more creative environment. Though Wang centralised all decision-making power to himself, with the heads of all 28 functional units reporting directly to him, he fostered a sense of belonging and company loyalty among its engineers by encouraging new ideas and innovation. Any functional units wanting to develop a new business could submit a feasibility report, similar to a business plan, to Wang. "As long as they can convince me and make me happy, they can go ahead," said Wang.³² Moreover, Wang focused on big-ticket items in cost control instead of nitpicking petty expenses incurred by employees. For example, BYD never hosted expensive employee gatherings, and all staff, including Wang himself, flew economy class for business travels. Wang commented on the ownership of two private jets by Terry Guo by saying that, even if his company became as large as Foxconn, he would not own a private jet unless BYD was moving from the production of cars to aeroplanes.³³

Success in Defending Overseas IPR Case and Tactful Copying Skills

In July 2003, BYD was sued by Sony Corp ("Sony") in the district court of Tokyo for displaying two samples of lithium-ion batteries that infringed the patent rights of Sony in Japan at a local trade show. Sony sought an injunction to ban BYD's sale of these two batteries in Japan. BYD managed to gather evidence for its first court hearing within 40 days, and shifted from defense to offense in March 2004 by challenging the validity of Sony's patents in the Japan Patent Office. In January 2005, the Japan Patent Office declared Sony's patents to be invalid, and Sony's appeal was rejected by the Appeals Department of this office in December 2005.³⁴

By synthesizing good ideas in China from Toyota and others, BYD created its own cars quickly. I believe there is no better way to learn the ropes of the auto industry than benchmarking the industry's best.

- Wang Chuanfu, chairman of BYD Company Limited³⁵

In mid-2005, BYD launched a small sedan, the F3, its first car since its purchase of Qinchuan Motors in early 2003. Foreign industry observers commented that the F3 was a copycat of the Toyota Corolla³⁶ in both outward appearance and numerous interior parts. In response, Wang said he had been careful not to infringe on another company's intellectual property. He explained the "small" wisdom (小智慧) in avoiding patent infringement by saying: "The

³¹ Ibid.

³² 許亞青 (2007 年 07 月 05 日) "比亞迪暗戰富士康, 王傳福、郭台銘兩岸對抗", *IT 經理世界* [Hui, A. (5 July 2007) "BYD Wages Hidden Battle with Foxconn. Wang Chuanfu and Terry Guo in Confrontation across the Border", *IT Manager World*], <http://www.huaxia.com/sw/qycf/2007/00647463.html> (accessed 1 April 2009).

³³ Ibid.

³⁴ 藍岸及翟東勝 (2005 年 12 月 29 日) "比亞迪強勢應對日企發難, 索尼專利無效終撤訴", *深圳商報* [Nam, N. and Zhai, D. (29 December 2005) "BYD in Upper Hand against Challenge from Japanese Corporation. Sony Patent Invalidated with Charges Withdrawn Finally", *Shenzhen Business News*], <http://news.chinabyte.com/494/2254494.shtml> (accessed 1 April 2009).

³⁵ Shirouzu, N. (12 January 2009) "Technology Levels Playing Field in Race to Market Electric Car", *Wall Street Journal*.

³⁶ Corolla was a four-seater compact sedan manufactured by Toyota Motor Corporation ("Toyota").

aesthetic design patent of cars has five perspective views. ... If all five views are the same, you probably have infringed upon patent rights. But as long as one of them has a totally different style, there is no patent infringement even if the others are exactly the same.”

According to Wang, the “big” wisdom (大智慧) was to know what to copy.³⁷ A spokesman for Toyota said that the company was always prepared to take legal action if there was a clear case of infringement, but it had no intention to take BYD to court over the F3.³⁸

Leakage of Trade Secrets

I almost fainted outright on the spot. All the documents sent out are important trade secrets of our company. In case of leakage, it would result in irreparable damages to the company.

- The head of Foxconn’s system management department³⁹

On 4 May 2006, a computer system administrator at Foxconn noticed that one of the computers had been sending out a large amount of data continuously from 10 am to 8:30 pm. He reported this abnormal activity to his department head. Upon investigation, it was uncovered that a senior engineer in the quality control department, Wang Wei (王維), had sent 42 confidential documents describing mobile phone production and workflow to a BYD employee, Zhang Jian (張健), who had left Foxconn for BYD two months earlier. Zhang called his close friend Wang Wei for help when he did not know how to compile certain documents, and Wang did not hesitate to do him the favour. Foxconn reported the case to the Shenzhen police.⁴⁰ The two were arrested and prosecuted for their criminal acts [see **Exhibit 11**]. In June 2006, Foxconn filed a civil court case against BYD and its subsidiaries in Shenzhen seeking US\$10.2 million in compensation for the damages and loss incurred. The amount was revised downward to around US\$730,000 the following month.

Progress in prosecuting the case was slow. Foxconn attributed this to law enforcement officers’ unfamiliarity with the legal procedures for IP protection, the lack of dedicated personnel in the police force for handling IP cases and their incompetence in collecting pertinent criminal evidence. Shenzhen’s police had not done anything to collect evidence for Foxconn’s case. Instead, a judge from the local court personally went to BYD’s factory to seize hard-copy documents and computer hard disks.⁴¹ These materials were found to contain substantial information pertaining to Foxconn. BYD argued that the information it possessed about Foxconn came from publicly available sources. In August 2006, the police started investigating the involvement of BYD’s head of system management, Si Shaoqing (司少青), in this commercial espionage case. In January 2007, the court appointed Beijing JZSC Judicature Appraisal Centre for Intellectual Property⁴² (北京九州世初知識產權司法鑑定中心) to verify the non-public nature of information in the seized materials.

In subsequent evidence-assessment sessions conducted by the court, Foxconn’s lawyers saw that the computer hard disks contained documents with Foxconn’s letterhead, and that some

³⁷ 許亞青 (2007 年 07 月 05 日) “比亞迪暗戰富士康, 王傳福、郭台銘兩岸對抗”, *IT 經理世界* [Hui, A. (5 July 2007) “BYD Wages Hidden Battle with Foxconn. Wang Chuanfu and Terry Guo in Confrontation across the Border”, *IT Manager World*], <http://www.huaxia.com/sw/qycf/2007/00647463.html> (accessed 1 April 2009).

³⁸ Shirouzu, N. (12 January 2009) “Technology Levels Playing Field in Race to Market Electric Car”, *Wall Street Journal*.

³⁹ 張殿文 (2008 年 6 月 22 日) “郭台銘大陸香港打官司, 捍衛知識產權”, *亞洲周刊*. [Zhang, D. (22 June 2008) “Terry Guo Launches Legal Battles on the Mainland and Hong Kong to Defend Intellectual Property Rights”, *Asia Week*.]

⁴⁰ China’s police was commonly called Public Security Bureau (公安局).

⁴¹ 張殿文 (2008 年 6 月 22 日) “郭台銘大陸香港打官司, 捍衛知識產權”, *亞洲周刊*. [Zhang, D. (22 June 2008) “Terry Guo Launches Legal Battles on the Mainland and Hong Kong to Defend Intellectual Property Rights”, *Asia Week*.]

⁴² Beijing JZSC Judicature Appraisal Centre for Intellectual Property was an expert assessment organisation set up by the Chinese government to investigate cases of intellectual property infringement.

hard-copy documents had identifications of Foxconn and the signatures of relevant section heads.⁴³ According to the head of Hon Hai's legal division, Wang Pengyu, further internal investigation by Foxconn revealed that BYD systematically stole the company's trade secrets, instead of this simply being a one-off incident of theft by unethical employees.⁴⁴

In early 2007, BYD planned to spin off its mobile phone business, BYD Electronic, in July the same year as a separately listed company on the Hong Kong Stock Exchange. It aimed at raising close to US\$800 million in capital through this public offering. However, in the prospectus for potential investors, BYD did not mention that there was a pending IP court case.

To Pursue Criminal Prosecution of BYD or Not

Having ineffective laws is equivalent to playing games without rules. It's outright impossible to compete. (法令沒有用就像比賽沒規則，根本無法競爭。)

- Terry Guo, chairman of Hon Hai Precision Company Limited⁴⁵

In April 2007, Foxconn employee Wang was sentenced to nine months' imprisonment for stealing the company's trade secrets. In China, the punishment of individuals found guilty of trade secret theft was often relatively light. To safeguard its IPR, should Foxconn pursue criminal charges⁴⁶ against BYD as a corporate entity? Would there be any negative consequences if Foxconn did not do so?

In addition, for civil IPR litigation cases on the mainland, the amount of compensation granted to IP owners was usually small relative to the damages claimed. Both Foxconn and BYD were listed on the stock exchange of Hong Kong,⁴⁷ where the common law of Commonwealth nations was practised. This system had a rule of binding precedent, meaning that judgements were usually based on the verdicts of previous cases. The compensation awarded to IP owners was likely to be higher in Hong Kong's courts than in those in mainland China. In May 2007, Foxconn's management was pondering whether it should file another civil case against BYD in Hong Kong in order to recoup greater compensation for its trade secret loss.

To tackle the root cause of Foxconn's vulnerability to trade secret theft, the management had to find out what made so many of its senior managers and engineers leave for BYD, and what it should do to stop this haemorrhage. Moreover, with its key customers intentionally nurturing BYD to counterbalance its market power, was there anything that Foxconn could do to turn the tide?

⁴³ SMT 充電網 (2007 年 12 月 12 日) “富士康起訴比亞迪利用離職員工，竊取其 SMT 管理辦法等文件” [SMT Power Net (12 December 2007) “Foxconn Sued BYD for Stealing Its SMT Management Methods Documents through Former Employees”], <http://www.smtpow.com/?pagetype=bbsthread-and-tid-19582.html> (accessed 1 April 2009).

⁴⁴ 張殿文 (2008 年 6 月 22 日) “郭台銘大陸香港打官司，捍衛知識產權”，*亞洲周刊*. [Zhang, D. (22 June 2008) “Terry Guo Launches Legal Battles on the Mainland and Hong Kong to Defend Intellectual Property Rights”, *Asia Week*.]

⁴⁵ Ibid.

⁴⁶ For conviction in a criminal case, the evidence had to be beyond reasonable doubt.

⁴⁷ Hong Kong had been a British colony before it was handed over to China in July 1997. Being a special administrative region of China, Hong Kong maintained its own set of laws and judicial system, primarily based on the common law used in the UK and other Commonwealth nations.

EXHIBIT 1: TYPES OF INTELLECTUAL PROPERTY AND MEASURES OF PROTECTION

Intellectual Property	Common Measures of Protection
1. Copyright and related rights	Keep the originals of the copyrighted items. Properly indicate the copyright. In China, IP owners may register with the National Copyright Administration optionally. ⁴
2. Trademarks, including service marks	Register the trademarks or service marks with governing bodies. Monitor the market for infringement. In China, IP owners may register with customs office optionally.
3. Geographical indications ¹	No registration is required.
4. Industrial designs ²	Register with governing bodies.
5. Patents	Apply for patent rights with governing bodies. Keep all related work records. Monitor the market for breaches.
6. Topographies (layout-designs) of integrated circuits	Register the topographies with governing bodies, except for exempted countries such as Australia. ³
7. Undisclosed information, including trade secrets	Mark confidential items, restrict access to trade secrets, sign non-disclosure and non-compete employee agreements, and implement proper information security.

¹ Geographic indication is a sign used to indicate the regional origin of particular goods/services and that there must be a link between some characteristic of the good and the particular region where it was produced. It can be a geographic place name or a symbol, such as the picture of Eiffel Tower or the Statue of Liberty. Source: United States Patent and Trademark Office, “What are Geographical Indications?”, <http://www.uspto.gov> (accessed 12 March 2009).

² Industrial design refers to the visible features of shape, configuration, pattern or ornament, or any combination of those features, of a finished object. It must bear at least one original feature that distinguishes it from other designs of the same type. A common example is fashion designs. Source: Lecours, A., “Canadian Intellectual Property Law”, Lecours & Lessard, <http://www.ilflaw.com> (accessed 12 March 2009).

³ Attorney-General’s Department, Australian Government, “Circuit Layouts Act 1989”, <http://www.ag.gov.au> (accessed 12 March 2009).

⁴ Stender, N., Tjoa, L., Wang, Y. and Zeng, Y. (November–December 2004) “Using PRC Customs to Protect IPR”, *China Business Review*, 31 (6), pp. 30.

Source: World Trade Organisation, “Intellectual Property: Protection and Enforcement”, http://www.wto.org/english/thewto_e/whatis_e/tif_e/agrm7_e.htm (accessed 27 February 2009); Firth, G. (January–February 2006) “IP Protection Best Practice Tips”, *China Business Review*, 33 (1), pp. 18–25.

EXHIBIT 2: COMMON TYPES OF INTELLECTUAL PROPERTY INFRINGEMENT

Category	Sub-Category	Nature of IP Theft	Common Products / Items
1. Copyright Piracy	a. Digital piracy, with or without media (eg, sharing of files or software over the internet or intranet)	Stealing copyrighted content, breaking the security encryption or illegal sharing of content by multiple users.	Music and songs, movies, animations, video games, software, digital pictures
	b. Reprint of books and journals	Stealing copyrighted content by direct reprints.	School textbooks, novels, cartoons, photocopying of books and journals
	c. Plagiarism	Direct copying of content, either printed or published online, without citation.	Academic writings, press coverage
2. Product Counterfeit	a. Counterfeits of low-tech or commodity products, or products with similar names	Stealing product design (including registered industrial design), trademarks, brand equity or geographic indications.	Apparel and shoes, jewellery and watches, leather goods, toys, consumer electronics, high-end branded agricultural products (eg, Ginseng)
	b. Counterfeits or imitation of high-tech or research-based products	Stealing patented trade information.	High-tech machineries and equipment, biotechnology products, pharmaceuticals
3. Trade Secret Theft	a. R&D information	Stealing trade secrets such as new innovations, product prototypes, chemical formulations, technical designs and specifications.	Any type of product, company or industry
	b. Sales and marketing information	Stealing customer and supplier lists, information of distribution channels, sales and financial data, marketing and promotion activities.	
	c. Others: company plans, human resources or legal information, supply chain management, information management system	Stealing information of business practices, management know-how, employee list (for solicitation purpose), future plans such as new factories or merger and acquisition.	

EXHIBIT 3: SURVEY IN 2007 ON INTELLECTUAL PROPERTY THREATS FACED BY EUROPEAN CORPORATIONS

Q 1: What do you view as the chief sources of threat to your company's intellectual property?

Chief Sources of IP Threats	% of Respondents
Patent infringement from competitors in emerging markets	43
Unauthorised action by employees	25
Patent infringement from competitors in developed markets	31
Breaches of your company's electronic security	22
Breaches of IP protection committed by marketing or sales partners	22
Breaches of IP protection committed by joint venture partners	22
Breaches of IP protection committed by suppliers	17
Breaches of IP protection committed by R&D partners	13
Other	4

Q 2: From which country do you believe the most serious threats originate to your company's intellectual property?

Country	% of Respondents
China	40
United States of America	14
India	9
Russia	8
United Kingdom	6
Italy	2
Germany	2
Spain	2
South Korea	1
Other	16

Q 3: If the use of intellectual property rights is becoming more important to your company, what do you view as the main reasons?

Reasons	% of Respondents
We see an opportunity to increase the revenue base	50
We need to protect our investments in R&D	49
Emerging market competitors are becoming more aggressive in their efforts to copy third-party technology	32
IPR strengthens our position in negotiating joint ventures and alliances	31
Competitors are becoming more aggressive in protecting their own IPR	28
IPR increases the value of our assets for valuation purposes	27
IPR revenue is critical to our ability to fund new R&D	14
Other	2

Note: 405 senior executives from companies across Europe were surveyed. The major industry sectors included information technology (12%), professional services (11%), telecommunications (11%), health care, pharmaceuticals and biotechnology (10%), financial services (9%), manufacturing (9%), government and public sector (5%), electronics and electrical equipment (5%) and consumer goods (4%). 50% of these companies had annual revenues of over €500 million.

Source: Economist Intelligence Unit (January 2007) "The Value of Knowledge: European Firms and the Intellectual Property Challenge", http://graphics.eiu.com/files/ad_pdfs/eiu_EuropeIPR_wp.pdf (accessed 27 February 2009).

EXHIBIT 4: LAWS FOR PROTECTING INTELLECTUAL PROPERTY IN CHINA

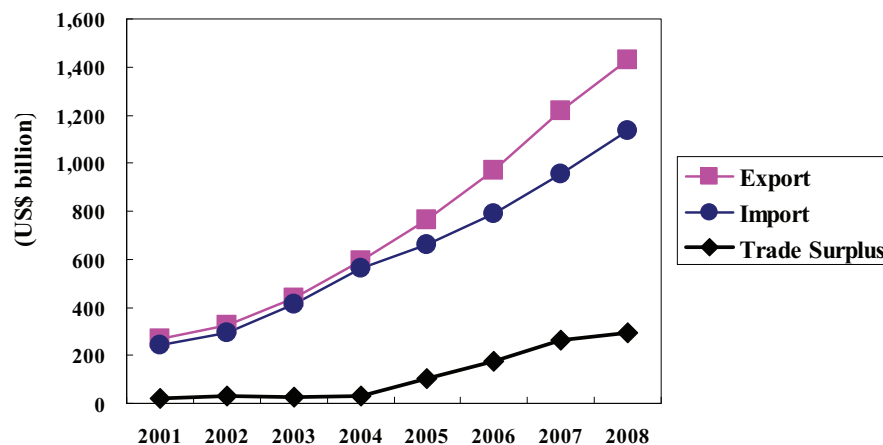
IP-related Law or Regulation in China	Enactment	Amendments
Trademark Law	1982	1993, 2001
Patent Law	1984	1992, 2000, 2008
Copyright Law	1990	2001
Regulations on Computer Software Protection	1991	
Anti-Unfair Competition Law ¹	1993	
Regulations on Forbidding the Infringement of Trade Secrets	1995	
Regulations on Integrated Circuit Layout Design Protection	2001	
Regulations on the Protection of the Right of Communication through Information Network	2006	

¹ In China, trade secrets were protected under the Anti-Unfair Competition Law.

Source: Compiled from IP laws and regulations of China posted on the internet (accessed 9 March 2009).

EXHIBIT 5A: GLOBAL TRADE VOLUME OF CHINA FROM 2001 TO 2008

Year	China's Global Trade Volume (in US\$ billion)		
	Export	Import	Trade Surplus
2001	266.1	243.5	22.6
2002	325.6	295.2	30.4
2003	438.4	412.8	25.6
2004	593.4	561.4	32.0
2005	761.9	659.9	102.0
2006	969.1	791.6	177.5
2007	1,218.0	955.8	262.2
2008	1,428.5	1,133.1	295.4



Source: 程曦 (2009 年 1 月 13 日) “海關總署：08 年 12 月中國進出口呈現加速下滑趨勢”，*財訊* [Cheng, H. (13 January 2009) “Custom Head Office: The Downward Trend of China’s Import and Export Accelerates in December 2008”, *Caixun*], <http://content.caixun.com/NE/01/57/NE0157g4.shtm> (accessed 3 June 2009); Ministry of Commerce of the People's Republic of China (2005–2007) “Statistics”, <http://english.mofcom.gov.cn/statistic/statistic.html> (accessed 3 June 2009); 市場誠信 (2005 年 5 月 28 日) “2005 年春季中國對外貿易形勢報告” [SCCX (28 May 2005) “Report on China’s Export Situation in Q1 of 2005”], <http://www.sccx.com.cn/bvnews/shownews.asp?newsid=1339> (accessed 3 June 2009).

EXHIBIT 5B: CHINA'S TOP TEN EXPORTS IN 2007 (JANUARY–NOVEMBER)

Export Categories	Export Value (US\$ billion)	% Change ¹
1. Electrical machinery and equipment ²	271.3	31.8%
2. Power generation equipment	207.0	23.1%
3. Apparel	99.5	24.1%
4. Iron and steel	70.2	52.4%
5. Optics and medical equipment	33.2	12.5%
6. Furniture	32.5	28.0%
7. Vehicles other than railway	28.6	40.0%
8. Inorganic and organic chemicals	27.2	30.2%
9. Toys and games	24.8	19.3%
10. Plastics and articles thereof	24.1	18.9%

¹ The figures refer to % change over the period of January to November 2006.

² Electrical machinery and equipment includes consumer electronics and office equipment.

Source: The US-China Business Council (2008) "China's Trade Performance", <http://uschina.org/public/documents/2008/02/2008-trade-performance.pdf> (accessed 9 March 2009).

EXHIBIT 5C: RELATIVE CONTRIBUTIONS OF EIGHT PRICE DRIVERS IN CHINA

Price Drivers	Relative Contributions (%)
1. Wages	39.41%
2. Export Industry Subsidies & Preferences	16.71%
3. Industrial Network Clustering	16.02%
4. Undervalued Currency	11.44%
5. Counterfeiting & Piracy	8.63%
6. Foreign Direct Investment	3.09%
7. Lax Health & Safety Regulations	2.44%
8. Lax Environmental Regulations	2.26%
Total	100%

Note: This analysis was conducted by University of California Irvine.

Source: Navarro, P. (1 February 2007) "Testimony of Business Professor Peter Navarro before the U.S.-China Economic and Security Review Commission", US-China Economic Review Commission, http://www.uscc.gov/hearings/2007hearings/written_testimonies/07_02_01_02wrts/07_02_1_2_navarro_peter_statement.php (accessed 4 March 2009).

EXHIBIT 6A: COMMON WAYS TRADE SECRETS ARE STOLEN

Categories	Common Ways to Steal Trade Secrets
1. Human Resources	• Arrange phony job interviews to extract information from applicants working for competitors • Recruit workers from competitors • Send someone to work undercover at and collect trade secrets of competitors, and disseminate the data while working there or after exit • Employees quit the company and start a competitive business
2. Information Technology and Telecommunications	• Direct hacking into the computer system • Authorised employees download computer files into external storage devices and forward them to competitors • Authorised employees send electronic files via emails to competitors • Tapping of phones, fax machines and internet access
3. Document Management	• Employees steal hardcopies of documents or photos • Employees take photos or videos of confidential documents • Contract cleaners steal documents thrown away in garbage bins
4. Inventory Management	• Employees steal product prototypes, raw materials and half-finished or finished goods
5. Sales and Marketing	• Competitors pretend to be potential customers and request product prototypes or finished products for evaluation • Competitors buy the products with restricted sales through intermediaries or shell companies for an in-depth analysis
6. Partnership and Acquisition	• Competitors pretend to be interested in forming business partnership with the company or in acquiring it, and request for evaluation a target product or the whole company

EXHIBIT 6B: PROTECTION OF TRADE SECRETS THROUGH CONTRACTUAL MEASURES

Types of Contractual Measures	Limitations
1. Confidentiality Agreement: The employee agrees not to disclose company confidential data to external parties during and after the employment.	• Not easy to discover or to prove any breach by the undersigned.
2. Non-Compete Agreement: The employee agrees not to join a competitor with functional roles similar to the ones in the company, or engage in activities in direct competition with the company.	• Limited to a specific time frame and geographic coverage. • Not endorsed in some places, such as California.² • In China, disputes must first go through labour arbitration proceedings (PRC Labor Law, Chapter 10), which are reportedly often tilted in favour of the employee.¹
3. Non-Solicitation Agreement: The employee agrees not to solicit any other employees of the company in case he or she joins a competitor.	• Not easy to prove whether other employees join a competitor of their own will or due to solicitation by the undersigned. • Not endorsed in some places, such as California²

¹ Chinese Law Prof Blog (9 June 2008) “Interesting Case on Non-Competition Clauses in Employment Contracts”, http://lawprofessors.typepad.com/china_law_prof_blog/2008/06/interesting-cas.html (accessed 13 March 2009).

² Levinson, M. (19 August, 2008) “Non-Solicitation Agreements: What IT Leaders Can Learn from Edwards vs. Arthur Andersen”, *CIO*, <http://www.cio.com> (accessed 13 March 2009).

EXHIBIT 7: COMPUTER THEFT AND RECOVERY STATISTICS FROM SURVEYS CONDUCTED IN 2006 AND 2007

Surveys conducted by Ponemon Institute, LLC on 15 August and 23 October 2006:

- 30% of respondents believed their companies would be unable to determine what sensitive/confidential information resided on a laptop if lost or stolen.
- Only 37% believed their companies were effective at preventing breaches. 41% believed their companies would not even detect the breach.
- More than 90% of the breaches were in digital form.
- On average, the cost of preventative measures was 4 times less than the cost of a breach.
- Total costs of data breach in 2006 averaged \$182 per lost customer record. The average total cost per reporting company was \$4.8 million per breach and ranged from \$226,000 to \$22 million.

Survey posted on CIO (15 September 2006) “The Global State of Information Security 2006”:

- The vast majority of companies worldwide (almost 64%) had not created C-level security positions such as chief security officer (CSO) or chief information security officer (CISO).
- Only 37% of respondents said they had an overall security strategy. At companies with CSOs, that number was 62%. Likewise, 80% of companies with a CSO also employed a CISO or equivalent, compared with 20% overall.

“Data Loss Survey, 2007” conducted by McAfee and Datamonitor:

- 74% of subjects indicated they provided training programs to increase employee awareness about data leakage.
- A data breach that exposed personal information could cost companies an average of US\$268,000 to inform their customers, even if the lost data was never used.
- An ordinary notebook held content valued at US\$972,000, and that some could store as much as US\$8.8 million in commercially sensitive data and intellectual property.
- A third of companies surveyed said a major security breach could put them out of business.
- 61% of respondents thought data leakage was an insider’s job. 23% believed those leaks are malicious.

Survey conducted by Scott and Scott LLP and Ponemon Institute LLC (15 May 2007):

- 85% of organizations surveyed reported that they had had a data breach event.

DTI Information Security Breaches Survey 2006 (1 May 2007):

- Roughly 40% of businesses spent less than 1% of their total IT budgets on information security and protection.
- A third of all thefts of equipment in large businesses were carried out by employees.

Privacy Rights Clearinghouse (9 April 2007) “A Chronology of Data Breaches”:

- Only 35% of the Fortune 100,000 IT professionals said they were equipped to deal with lost corporate or personal data.
- Since early 2005, more than 150 million personal records had been exposed.

**Source: Absolute Software Corporation, “Computer Theft & Recovery Statistics”,
<http://www.absolute.com/resources/computer-theft-statistics-details.asp> (accessed 5 March 2009).**

EXHIBIT 8A: FINANCIAL PERFORMANCE OF FOXCONN

Year Ended 31 December	Revenue		Net Profit	
	(US\$ million)	% Change	(US\$ million)	% Change
2003	1,090	NA	101.6	NA
2004	3,308	203.5%	181.3	78.4%
2005	6,364	92.4%	383.0	111.2%
2006	10,381	63.1%	717.8	87.5%

Source: Foxconn International Holdings Limited (2005 and 2006) “Annual Report”, <http://www.fih-foxconn.com/investors/> (accessed 12 March 2009); Foxconn International Holdings Limited (2004) “Annual Report”, <http://www.hkse.com.hk> (accessed 11 April 2009).

EXHIBIT 8B: MAJOR PRODUCTS AND CUSTOMERS OF FOXCONN

Key Customers	Products
Apple	iPhone, some iPod models
Dell, Hewlett Packard	Desktop personal computers or parts
Nokia, Motorola	Mobile phones or parts
Sony, Nintendo	Videogame console, handheld game unit

Source: Dean, J. (11 August 2007) “The Forbidden City of Terry Gou”, *Wall Street Journal*.

EXHIBIT 8C: GLOBAL MAUFACTURING LOCATIONS OF FOXCONN

Location	Cities in Greater China with Foxconn Factories
Taiwan	Taipei (headquarters)
Chinese Mainland	Shenyang and Yingkou in Liaoning Province; Qinhuangdao and Langfang in Hebei Province; Taiyuan in Shanxi Province; Tianjin City; Yantai in Shandong Province; Shanghai City; Wuhan in Hubei Province; Nanjing, Kunshan and Huaian in Jiangsu Province; Hangzhou in Zhejiang Province; Shenzhen, Foshan and Zhongshan in Guangdong Province

Region	Other Countries with Foxconn Factories
Asia	India, Vietnam
Europe	Czech Republic, Hungary
Latin America	Mexico, Brazil

Source: Dean, J. (11 August 2007) “The Forbidden City of Terry Gou”, *Wall Street Journal*.

EXHIBIT 8D: R&D EXPENDITURE OF FOXCONN AND BYD ELECTRONIC

FY	Foxconn			BYD Electronic		
	Revenue (US\$ '000)	R&D Expenditure		Revenue (US\$ '000)	R&D Expenditure	
		US\$ '000	% ¹		US\$ '000	% ¹
2003	1,090,623	4,904	0.45%	NA	NA	NA
2004	3,308,270	24,720	0.75%	52,941	NA	NA
2005	6,364,497	30,419	0.48%	87,720	NA	NA
2006	10,381,236	62,063	0.60%	444,427	8,158	1.84%

Note: The figures referred to the R&D expenses as percentages of the total revenues.

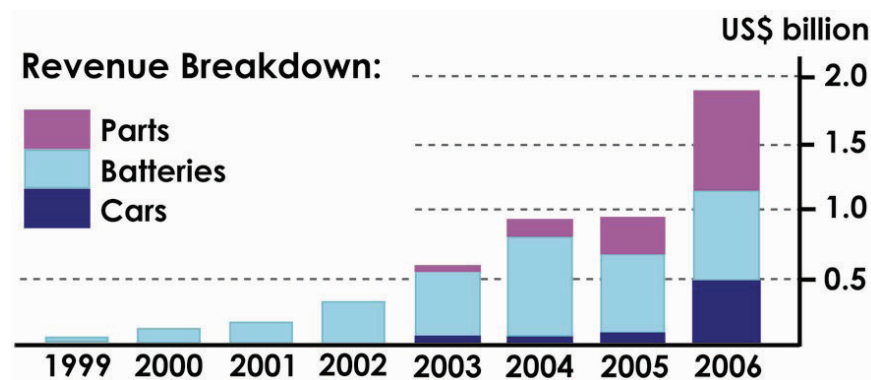
Source: Foxconn International Holdings (2005 and 2006) “Annual Report”, <http://www.fih-foxconn.com/investors/> (accessed 12 March 2009); BYD Electronic (International) Company Limited, “Financial Highlights”, <http://www.byd-electronic.com/> (accessed 12 March 2009).

EXHIBIT 9A: FINANCIAL PERFORMANCE OF BYD COMPANY LIMITED FROM 2001 TO 2006

	Financial Year Ended 31 December (in US\$ '000 except for net profit margin)					
	2001	2002	2003	2004	2005	2006
Revenue	190,577	334,477	593,247	938,176	948,772	1,889,114
Cost of goods sold	(127,784)	(195,134)	(396,384)	(689,258)	(736,405)	(1,489,332)
Gross profit	62,793	139,342	196,864	248,918	212,367	399,781
Other income and gains	1,916	4,087	6,346	4,976	6,814	22,926
Government subsidies	0	0	0	0	0	0
Research and development costs	0	0	0	0	0	0
Selling and distribution costs	(6,135)	(7,861)	(14,949)	(23,410)	(24,833)	(70,107)
Administrative expenses	(18,602)	(21,471)	(46,064)	(58,625)	(85,194)	(124,131)
Other expenses	0	0	0	(111)	(1,790)	(19,966)
Operating profit	39,971	114,097	142,196	171,748	107,364	208,504
Finance costs	(3,621)	(2,642)	(2,914)	(9,683)	(20,807)	(36,054)
Profit before taxation	36,350	111,454	139,282	162,065	86,557	172,450
Tax	(2,962)	(8,679)	(8,989)	(9,406)	(13,146)	(7,749)
Net profit	33,388	102,775	130,293	152,658	73,411	164,701
Net profit margin	17.52%	30.73%	21.96%	16.27%	7.74%	8.72%

Note: An exchange rate of US\$1 = Rmb 6.8492 obtained on 13 March 2009 was used in the currency conversion.

Source: BYD Company Limited (2002–2007) “Annual Report”, <http://www.hkse.com.hk> (accessed 29 March 2009).

EXHIBIT 9B: REVENUE BREAKDOWN OF BYD COMPANY LIMITED

Source: Shirouzu, N. (12 January 2009) “Technology Levels Playing Field in Race to Market Electric Car”, *Wall Street Journal*.

EXHIBIT 10A: FINANCIAL PERFORMANCE OF BYD ELECTRONIC

Year Ended 31 December	Revenue		Net Profit	
	(US\$ '000)	% Change	(US\$ '000)	% Change
2004	52,941	NA	6,392	NA
2005	87,720	65.7%	6,638	3.9%
2006	444,427	406.6%	106,741	1507.9%

Note: An exchange rate of US\$1 = Rmb 6.8492 obtained on 13 March 2009 was used in the currency conversion.

Source: BYD Electronic (International) Company Limited, “Financial Highlights”, <http://www.byd-electronic.com/baseinfoen.aspx> (accessed 12 March 2009).

EXHIBIT 10B: NET PROFIT MARGINS OF SELECT EMS PROVIDERS

FY	Net Profit Margin (%)			
	Foxconn	Flextronics	Jabil Circuit	BYD Electronic
2004	5.5%	1.6%	3.3%	12.1%
2005	6.0%	2.4%	3.5%	7.6%
2006	6.9%	2.7%	3.2%	24.0%

Note: Foxconn, Flextronics and Jabil Circuit were the top three global players, while BYD entered the market in 2003. The financial year of Foxconn and BYD ended 31 December, while that of Flextronics and Jabil Circuit ended 31 March and 31 August, respectively.

Source: Foxconn International Holdings (2005 and 2006) “Annual Report”, <http://www.fih-foxconn.com/investors/> (accessed 12 March 2009); BYD Electronic (International) Company Limited, “Financial Highlights”, <http://www.byd-electronic.com/baseinfoen.aspx> (accessed 12 March 2009); Flextronics International Limited, “Earnings Releases”, <http://www.flextronics.com/en/Investors/EarningsReleases/> (accessed 12 March 2009); Jabil Circuit Inc, “Financial Highlights”, http://jbl.client.shareholder.com/fin_highlights.cfm (accessed 12 March 2009).

EXHIBIT 11: MAJOR EVENTS IN FOXCONN'S IPR INFRINGEMENT CASE

Date	Legal Proceedings and Related Events
4 May 2006	Foxconn discovered that a current employee, Wang Wei (王維), sent 42 confidential documents belonging to Foxconn on mobile phone production and workflow to BYD employee Zhang Jian (張健), who was a former worker of Foxconn.
13 May 2006	Wang Wei and Zhang Jian were arrested by the police.
27 Jun 2006	Foxconn filed a civil lawsuit against BYD in the Intermediate People's Court in Shenzhen to seek compensation of US\$10.2 million, ¹ which was revised down to around US\$730,000 on 11 July 2006.
4 Aug 2006	The police started investigating the involvement of Si Shaoqing (司少青), BYD's head of system management, in stealing trade secrets of Foxconn.
Jan 2007	The court in Shenzhen appointed Beijing JZSC Judicature Appraisal Centre for Intellectual Property to assess the nature of information contained in materials seized from the premises of BYD by the court earlier, including electronic documents found in two computer hard disks and certain hard-copy documents. Foxconn submitted to the court 129 confidential documents related to its "Surface Mount Technology ² Process Management Methods" for assessment. ³
31 Jan 2007	Si Shaoqing was arrested by the police.
11 Apr 2007	Wang Wei was convicted of trade secret theft with a prison term of nine months. (Note: The court verdict for Zhang Jian was scheduled for July 2007.)

¹ An exchange rate of US\$1 = Rmb 6.8492 obtained on 13 March 2009 was used.

² Surface Mount Technology (SMT) was a method used for constructing electronic circuits in which the components were mounted directly onto the surface of printed circuit boards.

³ In subsequent evidence assessment sessions conducted by the court, Foxconn's lawyers saw that the computer hard disks contained Word documents with Foxconn's letterhead, and that some hard-copy documents had identifications of Foxconn and the signatures of relevant section heads.

Source: 張殿文 (2008 年 6 月 22 日) “郭台銘大陸香港打官司, 捍衛知識產權”, *亞洲周刊* [Zhang, D. (22 June 2008) “Terry Guo Launches Legal Battles on the Mainland and Hong Kong to Defend Intellectual Property Rights”, *Asia Week*]; SMT 充電網 (2007 年 12 月 12 日) “富士康起訴比亞迪利用離職員工, 竊取其 SMT 管理辦法等文件” [SMT Power Net (12 December 2007) “Foxconn Sued BYD for Stealing Its SMT Management Methods Documents through Former Employees”], <http://www.smtpow.com> (accessed 1 April 2009).